

The other mistake, Nikhil told him, was that he was an irregular investor who was always trying to time the market. Instead of being invested, he came in and went out as he saw ‘opportunities’. This meant that he effectively ended up entering the stock market when the market was peaking and exiting when the market was bottoming out. Nikhil told Mr Talwar that equity markets had high volatility and the only way to consistently make returns was to stay invested. For the uninitiated, volatility refers to the amount of risk and uncertainty with regard to the size of changes in the value of a share. This broadly means that the price of the share could change dramatically over a short period of time in either direction.¹ Nikhil’s message to Mr Talwar was clear. More often than not, stocks appreciate when one least expects them to. And they do not appreciate evenly.

Thankfully, Nikhil told Mr Talwar that he still had time to correct his course. He had ten years to go before retirement and hence there was enough time for equity to work its magic. Since its inception in 1979, the BSE Sensex has delivered a compounded annual return of 15.8 per cent. Judicious stock pickers had delivered far more in this time period. This 15 per cent return (net of tax since stocks have zero long-term capital gains tax) compared favourably with the pre-tax return of 4 per cent that Mr Talwar had historically earned on his portfolio.

To highlight the difference and show the power of compounding, Nikhil showed him the final value from each asset class had Mr Talwar invested Rs 1 lakh in 1990, the year he started his career (see the exhibit below).